PROCUREMENT AND VENDOR POLICY:

1. Purpose

This policy covers purchasing, supplier selection, risk review, and payment controls. It supports fair supplier selection, value for money, and appropriate control over company commitments.

2. Approval before commitment

Obtain required approval before signing a contract, issuing a purchase order, accepting a paid subscription, or otherwise committing Northstar to spend money. A quote is not approval to purchase. A manager's approval to explore an option is not necessarily approval to sign a contract.

Do not divide a purchase into smaller orders to avoid an approval threshold. For urgent needs, contact Procurement for the approved expedited process.

3. Purchase request

Include business need, expected total cost, duration, budget or cost centre, preferred delivery date, vendor details, and relevant technical or security requirements. For renewals, include contract end date, usage, renewal price, and whether the service is still needed.

The requester explains the business need. Procurement coordinates sourcing and advises on the approval path.

4. Quotes and sample thresholds

For purchases **below ₹50,000**, document price reasonableness and obtain manager approval under the normal workflow. For purchases from **₹50,000 to ₹2,00,000**, Procurement normally requires at least **two comparable written quotes**. For purchases **above ₹2,00,000**, Procurement normally requires at least **three comparable written quotes** and department-head approval.

These are sample internal rules for this fictional knowledge base. Procurement may require extra review based on risk, contract type, data access, supplier concentration, or purchase nature. For a genuine single-source situation, document the reason and obtain Procurement approval before commitment.

5. Vendor due diligence

Before engaging a new vendor, relevant teams may review financial stability, references, security controls, privacy practices, legal terms, business continuity, and regulatory considerations. Vendors

accessing company systems or data require appropriate Information Security and privacy review before access is granted.

Do not provide production data or credentials during evaluation unless access and data handling have been approved. Use synthetic or minimized data where practical.

6. Contracts and legal review

Contracts, statements of work, data-processing terms, confidentiality agreements, and material amendments must use the approved review process. Employees must not accept supplier terms unless authorized. Legal review may be required for unusual liability terms, data use, intellectual property, automatic renewal, exclusivity, or cross-border data handling.

A purchase order does not replace a required contract. A signed contract does not eliminate the need for purchase-order and budget workflows.

7. Purchase orders and receiving

After approvals, Procurement or the authorized team issues a purchase order where required. The requester verifies that delivered goods or services match the agreed scope and records acceptance or discrepancies. Do not confirm receipt of undelivered goods or incomplete services.

8. Invoice and payment

Invoices should reference the purchase order or approved exception, describe the goods or services, and include required tax and supplier details. Finance checks the invoice against the order and evidence of receipt. Resolve differences in amount, supplier bank details, scope, or payment instructions before payment.

Changes to vendor bank details must be verified using a trusted, independently obtained contact method. Do not rely only on a reply to the email requesting the change.

9. Conflicts and gifts

Disclose personal relationships or financial interests that could influence supplier selection. Do not accept cash or cash equivalents from suppliers. Gifts, meals, invitations, and hospitality must follow the Gifts and Hospitality Standard and applicable restrictions. Report a supplier offering a personal benefit in exchange for favorable treatment to Compliance.

10. Vendor performance and renewals

Business owners review quality, service, security, delivery, and cost. Start renewal reviews early enough to consider alternatives and contractual notice periods. Do not allow an automatic renewal simply because the date was overlooked. Reassess security and privacy when a vendor's service or data use changes materially.

11. Emergency purchases

An emergency purchase addresses an immediate business-continuity, safety, or security issue. Contact Procurement and the relevant approver as soon as possible, then document reason, supplier, cost, and approvals. Emergency status does not permit fraud or deliberate splitting of purchases.

12. Scenarios

₹1,20,000 software subscription: Procurement should normally obtain two comparable written quotes, and the team must complete budget and approval workflows before commitment.

Vendor emails new bank details:** Finance independently verifies the change through a trusted contact route before updating the supplier record.

Manager says a supplier "looks good" in chat:** Required procurement, security, legal, and purchasing approvals still apply.

13. Document control

Owner: Procurement and Finance. Review annually and whenever approval thresholds or sourcing systems change.